

30 Other risk controls

14 primary questions | Oldest to newest

2026 objectives: 4.7.4-4.7.6, 5.1.1

29 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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CA1-P1 September 2009 Q2	8 marks
CA1-P1 September 2009 Q7	22 marks
CA1-P1 April 2011 Q2	11 marks
CA1-P1 September 2011 Q1	8 marks
CA1-P1 September 2012 Q4	13 marks
CA1-P1 September 2012 Q7	22 marks
CA1-P1 April 2013 Q5	12 marks
CA1-P1 September 2015 Q3	11 marks
CA1-P1 April 2017 Q3	18 marks
CA1-P1 September 2018 spare Q5	12 marks
CP1-P1 April 2019 Q4	10 marks
CP1-P1 April 2020 Q6	12 marks
CP1-P1 September 2020 Q5	8 marks
CP1-P1 April 2022 Q5	11 marks

CA1-P1 | September 2009 | Q2

Current topic | 8 marks total | Original PDF p2

Related: Ch 27.

- 2** (i) State the main conditions for:
- (a) A risk to be insurable.
 - (b) A risk transfer to take place. [2]

A small insurance company writes a large volume of term assurance business.

- (ii) State how underwriting can be used to manage risks so that the company can charge appropriate premiums. [3]
 - (iii) Explain why underwriting will be particularly important for this line of business. [3]
- [Total 8]

CA1-P1 | September 2009 | Q7

Current topic | 22 marks total | Original PDF p4

Related: Ch 1.

- 7** An insurance company is investigating offering kidnap and ransom insurance. Policies are to be sold to multinational companies to provide cover for certain named employees who are based in or travel to a range of countries. The cover provides protection against losses incurred by the company and its employees (or their families) in the event of an actual/attempted kidnap or hijack.

The main benefits include:

- Reimbursement of ransom.
 - Insurance against loss in transit of ransom.
 - Insurance for additional outgoings, which may arise as a result of a kidnap or hijack.
 - Payment of medical bills for actual injury or psychological care.
 - Compensation for the stress and trauma suffered by employees or their families, for example as a result of threats made.
 - Compensation for damage to property of the company or its employees.
- (i) List the information that would be requested on the proposal form to aid in underwriting the policy. [7]
- (ii) (a) Describe the conflicts of interest that could exist between any of the insurance company, the employer and the employee.
- (b) Explain how such conflicts could be reduced. [6]
- (iii) Describe how the insurer could provide assistance to its clients to help them manage or mitigate the risks covered under the policy. [9]
- [Total 22]

CA1-P1 | April 2011 | Q2

Current topic | 11 marks total | Original PDF p2

Related: Ch 7, Ch 23.

2 (i) Describe, in the context of domestic property insurance, the following terms:

- (a) Excess
- (b) No claims discount
- (c) Exclusion clause

[8]

A six storey residential property is divided into three self-contained apartments, each of which occupies two floors of the building.

(ii) Explain why property insurance premiums could vary depending on the position of the apartment within the building.

[3]

[Total 11]

CA1-P1 | September 2011 | Q1

Current topic | 8 marks total | Original PDF p2

Related: Ch 24.

- 1** Describe the tools that can be used to aid risk management over the life cycle of a general insurance product. [8]

CA1-P1 | September 2012 | Q4

[Current topic](#) | [13 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 4** A life insurance company specialises in selling term assurance policies to individuals over the age of 50.
- (i) List the types of information that would be asked for on the application form for this product. [4]
- (ii) Describe how underwriting and other control systems could be used to manage the risks the company faces in writing these policies. [9]
- [Total 13]

CA1-P1 | September 2012 | Q7

Current topic | 22 marks total | Original PDF p4

Related: Ch 22.

- 7** A new financial institution believes that it has spotted an opportunity to offer a new type of loan product. In general, loans will be for relatively low amounts and be over very short terms. However, the annualised interest rates charged on the loans will be extremely high.

Customers will select the amount they wish to borrow. They will then select a repayment date and the total amount to be repaid will be calculated. The quotation system will be flexible enabling customers to easily and quickly consider a range of borrowing and repayment options. Customers will earn trust points based on repayment history, which gives them access to higher loans and lower interest rates.

The principal features will be:

- (a) Maximum loan term 40 days.
 - (b) Maximum loan for new customers \$500 and \$1,500 for “trusted” customers.
 - (c) Typical annual equivalent interest rate 4000%.
 - (d) Product offered via the internet only.
 - (e) Repayment in full by a single payment on the due date.
 - (f) Repayment directly from borrower’s bank account using details submitted on application.
 - (g) Option to repay early (with a lower amount) with no fee.
 - (h) Provided all interest and fees are paid by the due date, option to extend the loan for up to a further 30 days.
 - (i) Extended loans will be subject to penalty fees and a higher interest rate.
 - (j) All interest payments, fees and charges to be clearly shown on the quotation page (including when altering terms as above). No other charges are payable.
 - (k) Decision on a loan given within 15 minutes of submitting a request.
 - (l) On application, customers must supply an e-mail address and a mobile telephone number.
 - (m) Customers must also declare employment status and level and frequency of income.
 - (n) Apart from personal details, no other information is required.
 - (o) Quotation page explains the risks involved to customers, how the lender will try to address these risks and highlights circumstances where a request for a loan may be refused.
- (i) Describe the characteristics of the likely target market for these loans. [3]
- (ii) Explain how each of the specific features listed above could mitigate the main risk to the lender that it is designed to deal with. [15]

As part of the application process, the lender is considering asking potential borrowers for proof of income and employment status.

- (iii) Discuss the advantages and disadvantages to the lender of asking for such proof. [4]
- [Total 22]

CA1-P1 | April 2013 | Q5

Current topic | 12 marks total | Original PDF p3

Related: Ch 28, Ch 14.

- 5** (i) State four tools that a financial institution can use to aid the management of risk. [2]

The government of a country wants to encourage a wider range of investors to invest in the infrastructure of the country. The trustees of a large defined benefit pension scheme have been asked to join a consortium to invest in the construction of a new railway line.

- (ii) Outline the possible attractions of the proposed investment to the pension scheme. [3]
- (iii) Comment on the risks involved, and suggest how they might be managed. [4]

The trustees of the pension scheme have now invested in the railway line construction.

- (iv) Outline how the trustees would assess the risks of the pension scheme's total asset portfolio (including this railway investment). [3]
- [Total 12]

CA1-P1 | September 2015 | Q3

Current topic | 11 marks total | Original PDF p2

Related: Ch 25.

- 3**
- (i) Define:
- (a) liquidity risk.
 - (b) operational risk.
- [2]
- (ii) Describe how the following companies can manage the risks defined in part (i):
- (a) a general insurance company that specialises in pet insurance.
 - (b) a global airline company.
 - (c) a property unit trust.
- [9]
- [Total 11]

CA1-P1 | April 2017 | Q3

[Current topic](#) | [18 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 3** An insurance company wants to maximise return on capital allowing for risk.
- (i) Describe the risk management tools that would be used. [8]
 - (ii) Explain the purpose of underwriting prior to acceptance of risk and how this helps the provider achieve the goal above. [4]
 - (iii) Discuss how claims control systems and management control systems can be used to manage risk. [6]
- [Total 18]

CA1-P1 | September 2018 spare | Q5

[Current topic](#) | 12 marks total | [Original PDF p2](#)

2018 spare paper (X18), distinct from the September main sitting. Original paper and matching spare examiner report restored from the supplied archive. Related: Ch 2.

- 5**
- (i) Describe how a general insurance company can manage the risks arising from major flooding within its insurance portfolio and operations. [8]
 - (ii) Suggest how changes in the environment which increase the risk of flooding could impact a general insurance company. [4]
- [Total 12]

CP1-P1 | April 2019 | Q4

[Current topic](#) | [10 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 4** A general insurance company offers a worldwide travel insurance policy that provides coverage against the following risks:

- medical cover required whilst in a foreign country
- loss of luggage whilst travelling
- flight delays of more than three hours.

Describe tools that the insurance company can use to aid the management and control of the above risks. [10]

CP1-P1 | April 2020 | Q6

Current topic | 12 marks total | Original PDF p3

Examiner report and original paper: use the links for this question in index.html.

- 6** (i) Outline the reasons for underwriting an insurance risk. [4]

A life insurance company in Country A has so far offered products only to its own domestic market. Country A is a well-developed country. The company is about to start selling a new term assurance product in Country B. Country B is a remote under-developed country. The company is considering the underwriting processes it will apply in Country B.

- (ii) Explain ways in which the company's underwriting processes for Country B might need to be modified compared with its existing approach in Country A. (Details of how to price the business are not required.) [8]
[Total 12]

CP1-P1 | September 2020 | Q5

Current topic | 8 marks total | Original PDF p3

Related: Ch 28.

5 An insurance company writes marine insurance to protect shipping from losses in relation to acts of violence such as war or piracy. Due to increasing political tensions, such actions are becoming more common in one area of the world in which the company has a number of clients.

(i) Describe, with specific examples, how the company can use risk control measures to mitigate exposure to the risks arising from these political tensions.

[4]

(ii) Discuss how the company can use scenario analysis to predict and control future exposure to such risks.

[4]

[Total 8]

CP1-P1 | April 2022 | Q5

Current topic | 11 marks total | Original PDF p3

Related: Ch 1.

5 A general insurance company writes business interruption insurance. An entirely new disease has emerged, and a number of policyholders have made claims for business interruption due to this new disease. The insurance company is considering whether to accept liability for these claims.

(i) List the professionals or stakeholders that could be involved in deciding whether to accept liability for these claims. [3]

(ii) Discuss the issues the insurance company needs to consider in deciding whether to accept liability for these claims. [8]

[Total 11]